

CRYPTO PROJECT ANALYSIS CHECKLIST

Banker-Style Due Diligence Framework Adapted for Tokens & Protocols

A repeatable, decision-oriented playbook to evaluate narratives, tokenomics (as capital structure), on-chain fundamentals, security, and competitive positioning — cutting through hype with clear entry/exit criteria.

How to Use This Framework: Start with your investment thesis (Section 1). Only proceed if the project passes narrative/theme filters. Use the checklists in Sections 3-5 as a rigorous filter. Score on the one-page scorecard (final page). Document your rationale. Revisit on thesis invalidation or major unlocks. This adapts traditional company analysis (thesis-first, SWOT with mitigants, quantitative benchmarking, clear decision criteria) to crypto realities: tokenomics replaces the cap table, on-chain data replaces financial statements, and empirical launch signals provide probabilistic edges.

1. DEFINE YOUR INVESTMENT THESIS FIRST (Non-Negotiable)

Before any research, define success/failure. This becomes your Executive Summary and anchor for all later analysis.

- State your core goal: Speculative asymmetric upside | Long-term conviction hold | Yield/governance participation | Narrative rotation trade | Other (specify)
- Time horizon: Days/weeks (trading) | 3-12 months | 1-3+ years (conviction)
- Success metric(s): e.g., 3-5x return by date X | Protocol TVL/users +X% | Token utility adoption (fees captured, staking %) | Specific catalyst hit
- Thesis invalidation criteria: What on-chain/fundamental/regulatory change would make you exit immediately? (Write 2-3 concrete triggers)
- Position sizing rules: Max % of portfolio | Max single-position loss tolerance | Scaling plan (DCA in on confirmation?)
- Entry / Accumulation / Profit-take / Exit zones: Price levels, market cap targets, or condition-based (e.g., post-unlock stabilization)
- Rough risk/reward & edge: Why does this opportunity exist? (Information asymmetry, narrative mispricing, execution edge vs market)

2. NARRATIVE & THEME SCAN (Filter Broad Hype)

Broad themes (AI, DeFi, RWA) are starting points only. Narrow ruthlessly. Assess timing vs cycle.

- Narrow theme to specific, actionable narrative with near-term catalysts (e.g., 'Decentralized AI agents on Solana with verifiable compute' not 'AI crypto')
- Map narrative phase: Early discovery | Momentum building | Peak hype | Rotation out | Dormant but undervalued
- Identify 3-5 true comparables (similar stage, sector, tokenomics profile). Note their FDV/MC, performance, and key drivers
- Assess macro cycle fit: Bull market liquidity tailwind? Sector rotation favoring this narrative now? Regulatory headwinds?
- Filter test: Would this project stand out in a bear market or crowded narrative? If not, higher bar required

3. QUALITATIVE DEEP DIVE

3.1 Team, Founders & Execution

- Team doxxed with verifiable identities and track records? (LinkedIn, previous projects, exits/failures with lessons learned)
- Core contributors have relevant domain expertise (not just marketing hype)?
- Advisors are credible, active, and aligned (equity/token skin in game)?
- Past roadmap delivery: Check historical promises vs shipped product/updates (GitHub, blog, announcements)
- Communication quality: Transparent, technical depth where needed, responsive to community concerns

3.2 Community, Distribution & Governance

- Organic engagement quality vs bot/farm activity? (Review recent Discord/Telegram/X activity, sentiment tools)
- Token holder distribution: Top 10 wallets hold <15-20%? Top 100 <40-50%? (Use Arkham, Nansen, or on-chain explorers)
- Active governance participation: Real proposals, voting turnout, quality of discussion (Snapshot, Tally, on-chain votes)
- Developer ecosystem health: GitHub activity, contributor count, grant usage transparency
- Community as distribution moat: Organic growth loops or purely incentive-driven (unsustainable)?

3.3 Tokenomics & Capital Structure (The Crypto 'Cap Table')

Token allocation + vesting + float is the closest analog to traditional cap structure. Use this to assess alignment, dilution risk, and launch signal quality.

Category	Typical %	Purpose	Vesting / Notes
Community / Ecosystem / Rewards	20-50%+	Airdrops, liquidity mining, user incentives, bootstrapping network effects	Often immediate or gradual distribution
Treasury / Foundation / Reserve	20-40%	Ongoing development, grants, operations, liquidity, marketing	Controlled by foundation/DAO; multi-sig or governance
Team / Founders / Employees	10-20%	Long-term alignment and retention of core contributors	3-4 years typical; 1-year cliff + monthly/quarterly unlock common
Investors (Private Sale)	15-30%	Early capital from VCs, angels via SAFTs or token sales	2-4 years vesting; often with cliffs
Advisors / Partners	1-5%	Strategic guidance and partnerships	Similar vesting to team
Liquidity / Initial Public Sale	Variable	DEX/CEX liquidity pools and public distribution (IDO/IEO/fair launch)	Often partially unlocked at TGE

Example: Uniswap (UNI) launch ~45-60% community/governance, ~21.5% team (4yr vesting), ~17.8% investors (4yr).

- Obtain and verify full allocation breakdown from whitepaper/tokenomics docs + on-chain implementation (if available)
- Map complete vesting/unlock schedule: cliffs, linear vs cliffed, monthly/quarterly cadence, any acceleration clauses
- Calculate initial circulating supply / float at TGE as % of total supply (higher float at launch = strong positive signal per research)
- Assess real utility & value accrual: Do fees/revenue flow to token holders (staking, burns, buybacks) or just treasury? Is it sustainable or inflationary?
- Stress test dilution: Model impact of team/investor unlocks on price (especially if low float + high private allocation)
- Governance token or utility token? (Governance tokens often have weaker direct value accrual unless fees shared)

Empirical Launch Signals (Research-Backed) — From Tokenomist analysis of best performers (live >2yrs, >2x ROI) and academic studies:

Attribute	Signal Direction	Strength	Notes / Mechanism
Community / Ecosystem Allocation	Higher % → Positive	Moderate to Strong	Better network bootstrapping and alignment when paired with real utility
Private Investors Allocation	Lower % → Positive	Strong	High private allocation often leads to concentrated unlock pressure and selling
Initial Float / Circulating Supply	Higher float at TGE → Positive	Strong	Reduces future dilution shocks and early price distortion from unlocks

Team Allocation	Moderate (10-20%) best; too high risky	Moderate	Quality signal in some studies, but excessive + short vesting increases dump risk
Vesting Length & Structure	Longer vesting + gradual unlocks → Positive	Moderate to Strong	Reduces immediate selling pressure; proper cliffs align incentives

Important caveats: Survivorship bias, market regime dependence (bull vs bear), other factors (PMF, execution, utility) usually dominate. Use as one input, not sole decider. Data quality varies (self-reported vs on-chain verified).

3.4 Product, Technology & Security

- Real problem/solution fit with defensibility, or primarily narrative/speculative driven?
- Smart contract audits: Multiple reputable firms (e.g., Certik, PeckShield, Trail of Bits, OpenZeppelin)? Any critical/high severity findings? Remediation status?
- Code quality & transparency: Open source? Active development? Formal verification where applicable?
- Upgradability & control: Timelocks on admin keys? Multisig with diverse signers? Progressive decentralization roadmap?
- Dependencies & systemic risks: Oracle reliance, bridge risks, external protocol dependencies — mapped and mitigated?
- Regulatory jurisdiction & exposure: Clear legal structure? Any past enforcement actions or securities classification risks?
- Bug bounty program active with meaningful rewards? Historical incident response quality?

3.5 Competitive Landscape, Moat & SWOT (with Mitigants)

Apply the 'every negative must be offset by a credible positive mitigant' rule. This is a powerful filter.

- SWOT completed: Strengths, Weaknesses, Opportunities, Threats — with explicit mitigants for every Weakness/Threat
- Porter's 5 Forces adapted to crypto: Threat of new entrants (forks/easy launches), substitutes (other chains/ecosystems), bargaining power of users/LPs/stakers, supplier power (validators, oracles), competitive rivalry intensity
- Sustainable moat identified: Tech/IP moat | Strong network effects/liquidity flywheel | First-mover brand | Exclusive partnerships | Regulatory moat | Other
- Competitor benchmarking: How does this project compare on metrics, tokenomics, execution speed, community to 2-3 closest rivals?
- Differentiation durability: Can competitors copy/fork the core value prop easily? What prevents that?

4. QUANTITATIVE & ON-CHAIN ANALYSIS

On-chain data + tokenomics metrics serve as the 'financial statements' for most crypto projects. Focus on trends, quality, and sustainability over raw numbers.

4.1 Market & Token Metrics

- Market Cap vs FDV ratio: Healthy buffer or high future dilution risk? (Low MC/FDV = unlocks ahead = caution)
- Liquidity depth: Sufficient CEX + DEX depth relative to market cap? Slippage analysis for realistic position sizing
- Trading volume quality: Organic vs wash trading / manipulation indicators? (Volume/MC ratio context)
- Holder metrics: Total holders trend, new holder growth vs churn, concentration (top wallets %)
- Active addresses & usage: Daily/Monthly active addresses trend (sustained growth or incentive-driven spike?)
- Token velocity & staking: Low velocity + high staking % = conviction/lockup signal. High velocity = speculative/hot money

4.2 Protocol / Fundamental Metrics (Usage & Economics)

- TVL (if DeFi/lending/DEX): Absolute level + trend. Quality: Sticky capital vs mercenary (incentivized) capital? Breakdown by asset type
- Revenue / Fees generated (if applicable): Real protocol revenue, not just emissions. Who captures it (treasury, stakers, burns)?
- User funnel metrics: Acquisition (new users), activation (first meaningful action), retention (repeat usage), referral/virality
- Key usage metrics specific to vertical: e.g., DEX volume, lending borrows, NFT trades, game DAU/MAU + playtime, AI inference calls, etc.
- Unit economics (where measurable): Cost to acquire user vs LTV, or cost per transaction vs value created

4.3 Valuation, Benchmarking & Sensitivity

- Comparables analysis: Similar projects' MC/FDV, revenue multiples (if applicable), narrative premium/discount
- Scenario valuation: Base / Bull / Bear cases with explicit assumptions and probability weights. What does 2x / 5x / 10x require?
- Risk-adjusted required return: Crypto hurdle rate significantly higher than traditional (e.g., 50-150%+ IRR for early-stage asymmetric bets)

- Sensitivity analysis: Key variables (adoption rate, fee capture %, unlock impact, macro liquidity) — how sensitive is thesis to changes?
- Opportunity cost benchmark: Vs holding BTC/ETH, vs other narratives in your opportunity set, vs cash

5. RISK RED FLAGS & MITIGATION ASSESSMENT

Systematically check for these common failure modes. High private allocation + low float + short vesting + anon team = classic rug/unlock dump setup.

- High team + investor allocation (>35-40% combined) with short vesting (<2-3 years) or large cliffs near term
- Low initial float (<10-15% circulating at TGE) + large unlock waves scheduled soon after launch
- Concentrated holdings: Top wallets (team/VCs/whales) control >30-40% and show exchange deposit patterns
- Anonymous or pseudonymous team with no verifiable track record + high team allocation
- Smart contract risks: No audits, single auditor only, critical findings unremediated, upgradable without timelock/multisig
- Previous exploits, hacks, or security incidents with poor incident response or unresolved issues
- Narrative hype significantly outpacing actual product usage/metrics (TVL/users/revenue flat or declining)
- Treasury opacity or governance capture: Large treasury controlled by small group, questionable spending, no transparency reports
- Regulatory red flags: Unregistered securities risk, jurisdiction with poor track record, past enforcement actions
- Manipulation risks: Low liquidity + high concentration + wash trading indicators + social media pump patterns
- Systemic dependencies: Single point of failure (oracle, bridge, key dependency on another protocol that could fail)

Overall Risk Posture: After checking above, classify risks as: *Acceptable for thesis* | *Mitigated with specific actions* | *Unacceptable (dealbreaker)*. Document mitigants explicitly.

6. SYNTHESIS, SCORING & DECISION CRITERIA

- All major qualitative and quantitative filters passed, or explicitly mitigated risks are acceptable given thesis edge
- Clear, thesis-aligned entry criteria met (or accumulation plan defined for staged entry)
- Position size fits portfolio rules, risk tolerance, and conviction level
- Monitoring plan established: Key on-chain dashboards, unlock calendar alerts, governance/news sources, price levels for review
- Exit/trim rules defined: Partial profit taking at specific multiples or catalysts | Full exit on thesis invalidation or target achievement | Stop-loss logic (if used) or time-based review triggers
- One-paragraph written rationale: Why this project, why now, what must go right, what would make me wrong, and sizing logic
- Post-decision review trigger: Set calendar reminder to re-evaluate in X weeks/months or on specific event (unlock, major update)

Final Recommendation Categories: *Strong Conviction Buy* | *Buy / Accumulate on Dips* | *Hold / Watch* | *Pass / Avoid* | *High-Risk Speculative Only (small size)*

ONE-PAGE CRYPTO PROJECT SCORECARD

Print this page. Score each category 1-5 (1=Poor/Dealbreaker, 3=Average/Needs Mitigant, 5=Excellent/Strong Edge). Weight by your thesis priorities. Total / Max possible. Revisit on major events.

Category	Score (1-5)	Key Observations / Mitigants	Weight
1. Thesis Fit & Edge	___ / 5		High
2. Narrative Strength & Timing	___ / 5		Med-High
3. Team & Execution Track Record	___ / 5		High
4. Community & Token Distribution	___ / 5		Med
5. Tokenomics & Capital Structure	___ / 5	Include empirical signals check	High
6. Product, Tech & Security	___ / 5		High
7. Competitive Moat & Differentiation	___ / 5		Med
8. On-Chain / Quantitative Metrics	___ / 5	Trends + quality over snapshots	Med-High
9. Risk Profile (lower score = higher risk)	___ / 5	Invert if needed: 5 = very low risk	High
TOTAL SCORE	___ / 45		

FINAL JUDGMENT & RATIONALE

Recommendation: ■ Strong Conviction Buy ■ Buy / Accumulate ■ Hold / Watch ■ Pass / Avoid ■ High-Risk Spec (small size only)

One-paragraph rationale (why this passes/fails, key mitigants, sizing logic, entry/exit plan):

Sources & Further Reading: Tokenomist Research on token allocations (2025); Lo & Medda (2020) 'Assets on the blockchain: An empirical study of Tokenomics'; Adapted from traditional financial due diligence frameworks (thesis-first, SWOT with mitigants, recasting, benchmarking) for crypto realities. Always verify latest on-chain data, audits, and docs independently. This is a tool, not financial advice.